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CASE #	CASE NAME	HEARING NAME
CVME2405983	MIRANDA VS GENERAL MOTORS	DEMURRER ON 1ST AMENDED COMPLAINT FOR BREACH OF CONTRACT/WARRANTY OF MIRANDA

Tentative Ruling:

OVERRULE Defendant’s Demurrer.

DENY Defendant’s Motion to Strike Punitive Damages.

This is a lemon law action. On May 13, 2019,¹ Plaintiff Ralph Miranda (“Plaintiff”) entered a warranty contract with Defendant General Motors, LLC (“GM”) regarding a 2019 Chevrolet Silverado, which was manufactured, distributed, and warranted by GM. (FAC ¶¶ 6–7.) Plaintiff alleges that the vehicle developed multiple defects that GM’s authorized repair facilities were unable to repair within a reasonable number of attempts, and that GM refused to repurchase or replace the vehicle. (*Id.* at ¶¶ 13, 21, 23.)

Plaintiff filed the initial Complaint on December 9, 2024, and the operative First Amended Complaint (“FAC”) on June 12, 2025, asserting the following causes of action against GM: (1) violation of Civ. Code § 1793.2(d); (2) violation of Civ. Code § 1793.2(b); (3) violation of Civ. Code § 1793.2(a)(3); (4) breach of the implied warranty of merchantability; and (5) fraudulent inducement – concealment.

GM demurs to the fifth cause of action for fraudulent inducement – concealment on the grounds that (1) it is barred by the applicable statute of limitations; (2) it fails to state facts sufficient to constitute a cause of action for fraud; and (3) it fails to allege a transactional

¹ In the original Complaint, Plaintiff alleged that he “entered into a warranty contract with [] GM regarding a **2018 GMC Sierra 1500**” on **December 26, 2018**. (Compl. ¶ 6.) However, in the FAC, Plaintiff now alleges that he “entered into a warranty contract with [] GM regarding a **2019 Chevrolet Silverado**” on **May 13, 2019**. (FAC ¶ 6.) Throughout its demurrer, GM continues to rely on and cite the December 26, 2018, date and refers to the vehicle as the 2018 GMC Sierra. (Def.’s Demurrer 7:12–27, 9:12–17.) Yet, because the FAC supersedes the original Complaint in its entirety, the newly alleged date and vehicle type control. Accordingly, for purposes of this analysis, the Court should refer to the May 13, 2019, date and the 2019 Chevrolet Silverado as alleged in the operative pleading.

relationship giving rise to a duty to disclose. GM concurrently moves to strike the demand for punitive damages in the Prayer.

In opposition, Plaintiff argues that its fraudulent inducement – concealment claim is timely, asserting that the face of the pleading does not establish a statute of limitations defense, that the discovery rule delayed the accrual of his claim, that GM’s fraudulent concealment tolled the limitations period, and that his claim is further tolled under the repair doctrine. Plaintiff also contends that his fraud allegations mirror those found actionable in other cases and that the FAC adequately pleads all essential elements of his claim. Finally, Plaintiff argues that California law does not require a transactional relationship for a manufacturer’s duty to disclose, and that the alleged transmission defect is a material fact, poses safety risks, and arose during the warranty period. With respect to the motion to strike, Plaintiff argues that because GM’s demurrer lack merit, the motion to strike necessarily fails as well. Plaintiff further argues that he has sufficiently alleged GM’s malice, oppression, and fraud, and that punitive damages are available under the Song-Beverly Act.

In reply, GM reiterates that Plaintiff’s fraud claim is time-barred, that GM owed no duty to disclose to Plaintiff, and that the allegations fail to state a viable cause of action for fraudulent inducement - concealment. With respect to the motion to strike, GM maintains that Plaintiff has not alleged facts sufficient to support a fraud claim, that no viable cause of action supports an award of punitive damages, and that punitive damages are not available under Plaintiff’s other claims.

GM demurs to the fifth cause of action for fraudulent inducement – concealment on the grounds that (1) it is barred by the applicable statute of limitations; (2) it fails to state facts sufficient to constitute a cause of action for fraud; and (3) it fails to allege a transactional relationship giving rise to a duty to disclose.

The statute of limitations for an action for relief on the grounds of fraud or mistake is three years. (CCP § 338(d).) “The cause of action in that case is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake.” (*Id.*) The action therefore accrues when “the plaintiff suspects or should suspect that his injury was caused by wrongdoing.” (*Jolly v. Eli Lilly & Co.* (1988) 44 Cal.3d 1103, 1110.)

GM argues that the three-year statute of limitations for fraud bars Plaintiff’s fraudulent inducement – concealment claim and that the FAC fails to allege facts justifying its late filing. Plaintiff purchased the subject vehicle on or about May 13, 2019. (FAC ¶ 6.) GM contends that, to assert a timely fraud claim based on alleged fraudulent inducement – concealment, Plaintiff was required to file suit by May 13, 2022.² (*See* Def.’s Demurrer 9:9–17.) Plaintiff, however, filed his Complaint on December 9, 2024, well beyond the three-year limitations period. GM further argues that the delayed discovery rule does not apply because Plaintiff alleges that the defects and nonconformities “manifested themselves within the applicable express warranty period” (*Id.* at 9:18–10:2 [citing FAC ¶ 11].)

However, as Plaintiff argues, it is not apparent from the face of the FAC that the statute of limitations bars the action. Although the FAC alleges that the defects and nonconformities existed since the time of purchase and within the warranty period, it does not allege that Plaintiff knew or had reason to know of the alleged defects or GM’s alleged deceptive conduct until a later time. The FAC further alleges that Plaintiff was not negligent in failing to discover the alleged fraud sooner, as the defect only became apparent after GM failed to repair it following a reasonable number of repair attempts. (*See* FAC ¶ 26.)

² In the demurrer, GM relies on the “December 26, 2018” date in the original Complaint to argue that Plaintiff failed to file the Complaint within the applicable three-year statute of limitations. As noted above, however, the operative FAC alleges a new transaction date—May 13, 2019. Thus, for purposes of evaluating the timeliness of Plaintiff’s claim, the Court should rely on the allegations in the FAC, not the original Complaint.

Moreover, while GM argues that the delayed discovery rule is inapplicable, whether Plaintiff exercised reasonable diligence and when he discovered the facts constituting the fraud are factual questions not suitable for determination at the pleading stage. (*Broberg v. Guardian Life Ins. Co. of Am.* (2009) 171 Cal.App.4th 912, 921 [“the delayed discovery rule is generally a question of fact, properly decided as a matter of law only if the evidence . . . can support only one reasonable conclusion”].)

Because the facts alleged within the four corners of the FAC do not affirmatively establish a statute of limitations defense, the Court overrules the demurrer on this ground.

In general, the facts constituting fraud must be alleged factually and specifically as to every element of fraud, as the policy of “liberal construction” of the pleadings will not be invoked. (*Lazar v. Sup. Ct.* (1995) 12 Cal.4th 631, 645.) To properly allege fraud against a corporation, the plaintiffs must plead the names of the person allegedly making the false representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157.)

The specificity requirement is, however, “relaxed when it is apparent from the allegations that the defendant necessarily possesses knowledge of the facts.” (*Quelimane Co. v. Steward Title Guaranty Co.* (1998) 19 Cal.4th 26, 27.) Further, the pleading rule for corporations is inapplicable to a claim of fraudulent concealment. (*Alfaro v. Community Housing Improvement System & Planning Association, Inc.* (2009) 171 Cal.App.4th 1356, 1384 [“How does one show ‘how’ and ‘by what means’ something didn’t happen, or ‘when’ it never happened, or ‘where’ it never happened?”].)

The California Supreme Court’s recent decision in *Rattagan* reaffirms and clarifies this rule; although it held that the same specificity pleading standard for affirmative fraud applies to fraudulent concealment claims, it clarified that “the focus of inquiry shifts to the unique elements

of the claim.” (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 43.) Thus, in a concealment claim based on a defendant’s duty to disclose arising from the defendant’s exclusive knowledge, the complaint must specifically allege “(1) the content of the omitted facts, (2) defendant’s awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant’s omission.” (*Id.* at 43–44.)

Here, GM argues that the FAC fails to allege the specific facts that GM allegedly failed to disclose; allegations establishing that GM knew of those facts at the time Plaintiff purchased his vehicle; what advertisements, brochures, or other materials in which GM could have disclosed the allegedly omitted facts and that Plaintiff reviewed and relied upon in purchasing the subject vehicle; how long prior to purchasing the vehicle he viewed them; and whether those materials, if any, were prepared by GM or someone else. GM also asserts that Plaintiff has failed to plead with specificity, as required, facts supporting any allegation that GM intended to defraud him by either making affirmative statements or failing to disclose material facts.

Here, as Plaintiff argues, the allegations of the FAC are sufficient to survive demurrer under *Dhital v. Nissan N. Am., Inc.* (2022) 84 Cal.App.5th 828. In *Dhital*, the Court concluded that the claim for fraudulent concealment was adequately pled because “plaintiffs alleged the CVT transmissions installed in numerous Nissan vehicles (including the one plaintiffs purchased) were defective; Nissan knew of the defects and the hazards they posed; Nissan had exclusive knowledge of the defects but intentionally concealed and failed to disclose that information; Nissan intended to deceive plaintiffs by concealing known transmission problems; plaintiffs would not have purchased the car if they had known of the defects; and plaintiffs suffered damages in the form of money paid to purchase the car.” (*Dhital, supra*, 84 Cal.App.5th at 844.)

Plaintiff's FAC alleges similar factual allegations as those found sufficient in *Dhital*: (1) GM's concealment of material facts (§§ 27, 29, 35–36, 64, 67–68, 71–72, 75, 77); (2) GM's knowledge of those facts and their falsity prior to Plaintiff's purchase of the vehicle (§§ 60–61, 67, 69); (3) GM's superior knowledge of the information and intent to induce Plaintiff's reliance (§§ 62, 70a–70b, 72); (4) the materiality of the concealed information, including the safety risks posed by the transmission defect (§§ 21, 61, 72); (5) Plaintiff's justifiable reliance on GM's nondisclosure (§§ 60–61, 63, 67, 69, 72); and (6) resulting damages (§ 77). Taken together, these allegations are sufficient to state a claim for fraudulent inducement by concealment under *Dhital* and analogous authorities.

Under California law, a **duty to disclose** material facts may arise (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant has exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; or (4) when the defendant makes partial representations but also suppresses some material facts. (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336.) These three circumstances, however, “presuppose [] the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise.” (*Id.* at 336–37.)

“A duty to disclose may arise from the relationship between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement.” (*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp* (2007) 157 Cal.App.4th 835, 851.) “Under California law, a vendor has a duty to disclose material facts not only to immediate purchasers, but also to subsequent purchasers when the vendor has reason to expect that the item will be resold.” (*Id.* [citing *Geernaert v. Mitchell* (1995) 31 Cal.App.4th 601, 605–609; *Barnhouse v. City of Pinole* (1982) 133 Cal.App.3d 171, 191–93.]) In *Barnhouse*, the court reasoned, “While an affirmative misrepresentation might not be repeated . . . a nondisclosure

must necessarily be passed on Under these circumstances it would be anomalous if liability for damages resulting from fraudulent concealment were to vanish simply because of the fortuitous event of an intervening resale.” (*Barnhouse, supra*, 133 Cal.App.3d at 192.)

Here, GM argues that there is no duty to disclose because the FAC does not allege that Plaintiff purchased the subject vehicle directly from GM or entered a transaction with GM. In support, GM cites *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311. (Def.’s Demurrer 13:20–14:3.) In *Bigler-Engler*, the court reversed a verdict for fraudulent concealment against the manufacturer of a medical device where the manufacturer and the plaintiff did not obtain the device directly from the manufacturer but from a medical group that sold and leased such devices. (*Id.* at 287, 314.) The court reasoned:

[The Defendant manufacturer] did not transact with [Plaintiff] or her parents in any way. [Plaintiff] obtained her Polar Care device from [the medical group], based on a prescription written by [Plaintiff’s doctor], all without [Defendant’s] involvement. The evidence does not show [Defendant] knew—prior to this lawsuit—that [Plaintiff] was a potential user of the Polar Care device, that she was prescribed the Polar Care device, or that she used the Polar Care device. The evidence also does not show that [Defendant] directly advertised its products to consumers such as [Plaintiff] or that it derived any monetary benefit directly from [Plaintiff’s] individual rental of the Polar Care device. Indeed, [the medical group] appears to have obtained the Polar Care device [Plaintiff] used from [Defendant] several years before [Plaintiff’s] surgery and maintained the device itself for rental to its patients. Under these circumstances, there was no relationship between [Defendant] and [Plaintiff] (or her parents) sufficient to give rise to a duty to disclose.

(*Id.* at 314.)

But, unlike *Bigler-Engler*, where there was no relationship between the parties, Plaintiff has alleged a contractual relationship here. The FAC alleges that Plaintiff entered a warranty contract with GM and that the vehicle was manufactured and/or distributed by GM. (FAC ¶ 6.) Additionally, GM fails to address the *OCM* case cited by Plaintiff (Pl.’s Opp. 9:22–25), which provides: “Under California law, a vendor has a duty to disclose material facts not only to immediate purchasers, but also to subsequent purchasers when the vendor has **reason to expect that the item will be resold.**” (*OCM Principal Opportunities Fund, supra*, 157 Cal.App.4th at

851 [emphasis added].) As Plaintiff argues, GM certainly expects its dealerships to sell its vehicles to purchasers. As such, the allegations of the FAC are sufficient to establish that GM had a duty to disclose. Accordingly, the Court should overrule demurrer on this ground.

Based on the foregoing, the Court overrules GM’s demurrer to the fifth cause of action for fraudulent inducement – concealment.

A party may *move to strike* matters from an opposing party's pleading if it is irrelevant, false or improper. (See CCP §§ 435, 436(a).) A motion to strike is the proper procedure for testing the adequacy of punitive damages allegation because punitive damages are not a cause of action. (*Grieves v. Sup. Ct.* (1984) 157 Cal.App.3d 159, 164.)

To obtain punitive damages in an action for the breach of an obligation not arising from contract, a plaintiff must demonstrate, by clear and convincing evidence, that the defendant is guilty of oppression, fraud, or malice. (Civ. Code § 3294(a).) The clear and convincing evidence standard “requires a finding of high probability . . . ‘so clear as to leave no substantial doubt’; sufficiently strong to command the unhesitating assent of every reasonable mind.” (*Lackner v. North* (2006) 135 Cal.App.4th 1188, 1211.)

“Fraud” is defined as “an intentional misrepresentation, deceit or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.” (Civ. Code § 3294(c)(3).)

Plaintiff argues that, if his fraud claim is well pled, then the punitive damages claim survives regardless of whether punitive damages are available under Song-Beverly Act. Citing *Anderson v. Ford Motor Co.* (2022) 74 Cal.App.5th 946, Plaintiff contends that the California Court of Appeal recently confirmed that fraudulent omission causes of actions arise from conduct wholly distinct from Song-Beverly Act violations, and that fraud damages and Song-Beverly Act remedies may—because they arise from different conduct that occurred at different times—both

be recovered in a single action. (*Id.* at 963.) The *Anderson* court reasoned: “The punitive damages were based on conduct underlying the fraud/CLRA causes of action and took place before the sale. The civil penalty was based on defendant’s post-sale failure to comply with its Song-Beverly Act obligations to replace the vehicle or make restitution when reasonable attempts to repair had failed.” (*Id.*) As discussed above, Plaintiff’s fraud claim is not subject to demurrer. Accordingly, the Court denies GM’s motion to strike the prayer for punitive damages.

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CASE #	CASE NAME	HEARING NAME
CVME2405983	MIRANDA VS GENERAL MOTORS	MOTION TO STRIKE COMPLAINT ON 1ST AMENDED COMPLAINT FOR BREACH OF CONTRACT/WARRANTY OF MIRANDA

Tentative Ruling: See Tentative for Demurrer

3.

CASE #	CASE NAME	HEARING NAME
CVME2503835	THE TRIM CLINICS VS LOS ANGELES INVESTMENTS	MOTION TO COMPEL PRODUCTION OF DOCUMENTS BY THE TRIM CLINICS

Tentative Ruling: Grant

Defendant to identify to Plaintiff which of the documents produced are responsive to each of the RFPs.

Sanctions are awarded in the reduced but reasonable amount of \$410 (\$350/hour x 1 hour + \$60 filing fee).

This is a breach of lease action. On April 10, 2025, Plaintiff The Trim Clinics, LLC (“Plaintiff”), along with individual Plaintiffs Lelani Vidal, and Darryl Walker filed a Complaint against Defendant Los Angeles Investments, LLC (“Defendant”) for: (1) breach of contract; (2) breach of the covenant of good faith and fair dealing; (3) breach of the implied covenant of quiet enjoyment; (4) negligent misrepresentation; and (5) rescission of lease. In the Complaint, Plaintiff alleges that it operates as a weight loss and body contouring clinic, and on April 17, 2024, it entered a lease of the property located at 31285 Temecula Parkway, Suite C8-260, Temecula, California